TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

ABC News · CommBank
26–27 Oct 2026

The RBA's Melbourne Cup meeting becomes a live chance for a fifth hike

> The cash rate is **4.60%** after four rises this year, the latest in September. The board meets on **Tuesday 3 November**. Markets have sharply raised the odds of another hike since Deputy Governor Andrew Hauser warned that the inflation outlook is **"materially worse"** than the RBA projected in August.

WHAT HAPPENED

- After Hauser's speech on 21 October, market-implied odds of a November hike rose from about **24% to 56%** (CBA). By Monday they were **above 60%** (ABC).
- CBA's base case is still a **hold**, but it calls the meeting "live" and dependent on today's CPI.
- The RBA forecast trimmed-mean inflation of 0.8% for the September quarter. The banks expect **0.9–1.0%**.
- The risk on the other side is that small businesses report falling revenue and record arrears, and fuel costs are already squeezing households.
- Overseas, the **RBNZ** and the **Bank of Canada** are tipped to hike this week, while the US Fed is expected to hold.

Cash rate: the interest rate on overnight loans between banks, which the RBA targets.
Transmission mechanism: the channels through which a change in the cash rate affects spending and inflation.

KEY NUMBERS

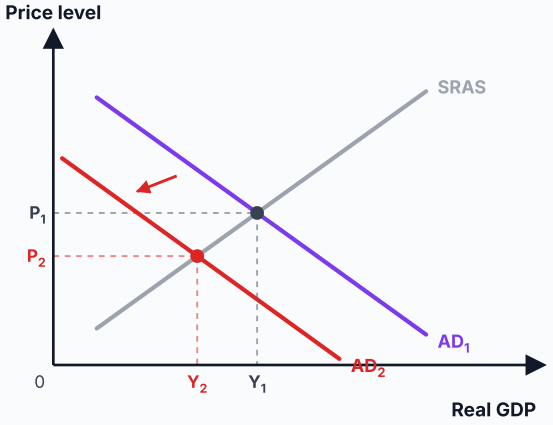
4.60%
cash rate after four 2026 hikes

3 Nov
date of the next RBA decision

24% → 56%
market odds of a hike after Hauser's speech

>60%
odds by Monday 26 October

DIAGRAM — Tighter monetary policy reduces aggregate demand



A higher cash rate raises borrowing costs, encourages saving and lifts the AUD. Consumption, investment and net exports all weaken, so aggregate demand shifts from **AD_1 to AD_2**.

The price level falls from **P_1 to P_2** (inflation slows), but real GDP also falls from **Y_1 to Y_2**, which raises unemployment.

Exam angle: much of today's inflation is **supply-side** (fuel). Monetary policy works on demand, so it can only stop the price shock from spreading by slowing the whole economy, and it acts with long lags.

FLOW CHART — The transmission mechanism

Cash rate up → Mortgage and business loan rates up → Spending and borrowing fall; AUD up → AD weakens → **Inflation eases towards 2–3%**

SYLLABUS LINK

Topic 4 – **Monetary policy**: RBA decisions, the transmission mechanism, and the limitations of monetary policy.

TRY THIS

Discuss the limitations of monetary policy in responding to inflation driven by a rise in fuel prices. **(6 marks)**

CommBank: https://www.commbank.com.au/articles/newsroom/2026/10/inflation-cpi-rba-interest-rates-november.html
ABC News – markets blog, 26 Oct: https://www.abc.net.au/news/2026-10-26/asx-markets-business-live-news-october-26/107306820
ABC News – Hauser, 21 Oct: https://www.abc.net.au/news/2026-10-21/reserve-bank-hauser-warns-inflation-outlook-materially-worse/107288574

Diagrams are illustrative, not to scale